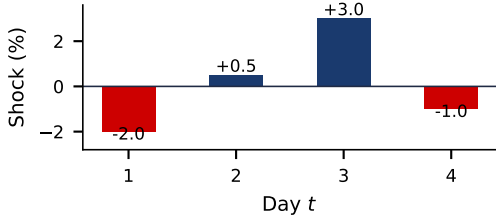
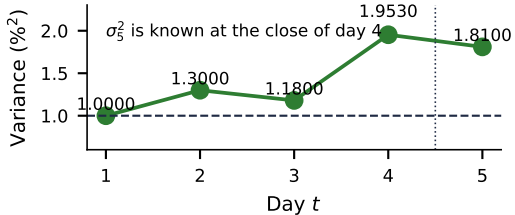


Input: four shocks



Output: $\sigma_t^2 = \omega + \alpha \varepsilon_{t-1}^2 + \beta \sigma_{t-1}^2$



■ Negative shock ε_t
■ Positive shock ε_t
● Filtered variance σ_t^2
--- Long-run variance $\bar{\sigma}^2 = 1$